

Delhi International Airport Limited

September 15, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Non-convertible debentures	SEBI	3,500.00	CARE AA; Stable	Assigned
Non-convertible debentures	SEBI	1,000.00	CARE AA; Stable	Reaffirmed
Issuer rating	-	-	-	Withdrawn

Details of instruments/facilities in Annexure-1.

Issuer Ratings: There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed ratings assigned to non-convertible debentures (NCDs) of ₹1,000 crore while assigning ratings to proposed NCDs of ₹3,500 crore. Proposed NCDs of ₹3,500 shall be used to refinance amount outstanding in respect of USD Notes of ₹3,494 crore and for payment of transaction-related costs. Reaffirmation in ratings of Delhi International Airport Limited (DIAL) considers significant growth in aeronautical revenue following the implementation of the tariff order from April 16, 2025, onwards for the control period (CP) CP-4 (April 01, 2024, to March 31, 2029) in line with earlier estimates and continued healthy growth in the non-aero revenue. Ratings also take note of resilient passenger traffic at DIAL, with FY26 passenger traffic remaining stable at 78.7 million despite the ongoing geopolitical tension. Passenger traffic registered a y-o-y growth of 6.9% in Q1FY27 against corresponding period in the last year.

Non-aero revenue grew by ~9% in FY26 despite muted passenger traffic growth, driven by improved spend per passenger and full-year impact of additional leasable area from Terminal-1 expansion. Going forward, favourable growth outlook on international traffic, aided by increase in capacity for international passengers and transfer traffic is expected to support DIAL's non-aero revenue and generation as estimated shall remain key rating monitorable.

Ratings also factor in the significant improvement in DIAL's leverage in FY26, supported by a healthy growth in scale of operations and operating profitability.

Going forward, steady growth in passenger traffic, increase in non-aeronautical revenue and no major debt-funded capex is expected to support further improvement in its leverage. Material increase in indebtedness impacting threshold leverage indicators is a key rating sensitivity. DIAL is anticipated to complete a substantial portion of its land monetisation plans in the next 1-2 years, which shall lead to inflow of substantial refundable security deposits, which per the management's articulation shall be utilised for deleveraging and meeting capital expense requirement. Fructification of these plans and consequent material reduction in debt levels shall be key positive rating sensitivity.

Ratings continue to factor strong market position of DIAL being largest airport of India, ring fencing of cash flows and longer concession period. Longer residual concession period with provision of extension of 30 years at the request of DIAL post 25th anniversary entails strong financial flexibility.

These strengths are partly offset by traffic and cargo diversion risk due to competing Noida Airport, moderate leverage and bullet repayments exposing the company to refinancing risk. However, DIAL's extensive catchment area, robust connectivity, its plans to cater higher international traffic, relatively lower yield per passenger, and regulated business model with true-up provisions shall partially mitigate potential decline in passenger traffic due to the new airport. Airports Economic Regulatory Authority of India (AERA) has factored in the traffic impact from Noida Airport per the third-party consultant report in its traffic projections for CP-4. Ratings also take cognisance of a favourable ruling by the Honourable Delhi High Court for DIAL regarding revenue share payments to the Airports Authority of India (AAI, rated 'CARE AAA; Stable / CARE A1+') for the COVID-19 period. AAI has challenged this decision before the Delhi High Court, and the matter is currently sub-judice. Adverse developments affecting DIAL's liquidity will be a key rating monitorable.

In accordance with CareEdge Ratings' withdrawal policy, the issuer rating assigned to DIAL, is withdrawn with immediate effect at the company's request.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Higher-than-anticipated non-aero revenues and monetisation of real estate leading to significant deleveraging.

Negative factors

- Decline in passenger traffic below 80 million from FY27 onwards on a sustained basis.
- Deteriorating net debt to profit before interest, lease rentals, depreciation and taxation (PBILDT) above 5x on a sustained basis.
- Crystallising contingent liabilities leading to deteriorating debt coverage indicators.

Analytical approach: Standalone

Outlook: Stable

In the medium term, CareEdge Ratings expects DIAL's business and financial profiles to be driven by its strong market position, longer concession period, and steady growth in revenue.

Detailed description of key rating drivers

Key strengths

Strong market position as an operator of India's largest airport

DIAL is the largest airport in India, considering passenger handling capacity. Following the completion of Phase 3A capex, DIAL's passenger handling capacity increased from 66 million to 100 million passengers per annum, which started commercial operations in August 2024. DIAL handled 78.7 million passengers in FY26 compared to 79.3 million passengers in FY25, reflecting a marginal decline of 0.8% on a high traffic base, amid temporary aviation-sector disruptions and ongoing geopolitical events. In Q1FY27, DIAL handled 20.4 million passengers reflecting a steady growth of 6.9% on y-o-y basis.

Significant increase in aeronautical revenue following implementation of revised tariff order

DIAL's aeronautical revenue profile improved significantly following implementation of AERA's final tariff order for CP-4 from April 16, 2025. Consequently, aeronautical revenue increased sharply to ₹3,011 crore in FY26 from ₹1,153 crore in FY25, despite muted passenger traffic growth in the year. DIAL reported aeronautical revenue of ₹785 crore in Q1FY27.

Resilient growth in non-aero revenue

DIAL's non-aeronautical revenue continued to grow in FY26 despite muted passenger traffic growth, supported by higher spend per passenger and full-year benefit of increased leasable area from Terminal-1 expansion. International passengers constituted ~27% of total passengers handled by DIAL, which supports comparatively better duty-free and retail revenue potential. CareEdge Ratings expects steady growth in non-aeronautical revenue in the medium term, driven by recovery in passenger traffic, favourable outlook on international traffic, and DIAL's established position as a major transfer hub with relatively higher transfer traffic compared to other Indian airports.

Favourable arbitration ruling for revenue share payable to AAI

In January 2024, DIAL received a favourable arbitration ruling on revenue share payments to AAI for the COVID-19 period. In September 2020, DIAL invoked force majeure clause under the operation, management and development agreement (OMDA), seeking relief from revenue share payments to AAI due to the impact of COVID-19. DIAL made payments to AAI from March 2020 to December 2020. Following an interim order from Honourable Delhi High Court, DIAL stopped revenue-sharing payments to AAI from January 2021, leading to arbitration. The tribunal ordered a refund of ~₹465 crore, and interest to DIAL, for payments made in March 2020 to December 2020. It also exempted DIAL from revenue-sharing payments for January 2021 to February 2022, and extension of concession period by 23 months. AAI has challenged this decision in the Honourable Delhi High Court, and the High court has upheld the tribunal's order in March 2025. AAI has deposited ₹471 crore with the High Court, including revenue share amount and interest. Adverse developments affecting DIAL's liquidity will be key rating monitorable.

Monetisation potential of real estate

DIAL has ~230 acre of designated land for commercial property development (CPD) and receives real estate revenue in the form of upfront refundable security deposits (RSD), which are refunded at the end of concession, upfront non-refundable advance development cost (ADC) for facilitating common infrastructure development and recurring annual licence fee (ALF) till the end of

concession. DIAL is in the process of monetising additional land parcel and developing some land parcel for onward sale. Timely monetisation of land parcel leading to substantial deleveraging is key rating monitorable.

Ring fencing of cash flows

DIAL's cash flow is ring fenced from its parent, GMR Airports Limited (formerly GMR Airports Infrastructure Limited, GAL, rated 'CARE AA-; Stable / CARE A1+'). The ring-fenced structure is strengthened by the presence of Groupe ADP as a co-promoter of GAL (32.3% stake) with equal board representation as on 31-March-26. Groupe ADP and AAI representatives are present on DIAL's board. Presence of a trust and retention account (TRA) with a payment waterfall mechanism ensures priority of debt servicing and restrict free movement of funds within group companies.

Key weaknesses

Inherent traffic diversion risk from Noida Airport

DIAL is exposed to the traffic diversion risk from Noida International Airport Limited, which commenced operations in June 2026 with initial capacity of 12 million passengers per annum. However, the impact is expected to be moderated by DIAL's strong market position as the primary airport for Delhi-NCR, extensive catchment area, established domestic and international connectivity, and high transfer traffic. AERA's CP-4 traffic projections have already factored in the commencement of Noida Airport, while the regulated tariff framework provides comfort through true-up mechanism in case of material variation in passenger traffic. Ramp-up in operations and future capacity expansion at Noida Airport remain key monitorable, given their potential impact on DIAL's passenger traffic growth and deleveraging trajectory. Considering relatively higher revenue sharing 46% to AAI and capacity expansion plans at Noida Airport, DIAL's ability to deleverage the capital structure is key rating monitorable.

Moderately leveraged capital structure and risk related to re-financing

DIAL's leverage improved significantly in FY26, with net debt/PBILDT reducing to 4.82x from 10.07x in FY25. Going forward, steady growth in passenger traffic, higher non-aeronautical revenue and real estate revenue, and absence of debt-funded capex in the medium term, is expected to support further improvement in leverage. DIAL continues to remain exposed to refinancing risk, given the bullet repayment structure of its debt instruments. DIAL has bullet repayments due in October 2026 of ₹3,494 crore and June 2029 of ₹3,500 crore, which exposes DIAL to refinancing risk. Proposed NCDs of ₹3,500 shall be used to refinance amount outstanding in respect of USD Notes of ₹3,494 crore and for payment of transaction-related costs. However, given the strong airport asset, past track record of refinancing well in advance of maturity date and financial flexibility from residual concession life alleviates the refinancing risk.

Liquidity: Strong

DIAL has adequate liquidity with ₹1,822 crore of free cash and bank balance apart from ₹33 crore earmarked for the capex as on June 30, 2026. DIAL has unutilised fund-based working capital limits of ₹733 crore as on June 30, 2026. Fund-based utilisation remained nil for the last 12 months.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Policy on Default Recognition](#)

[Issuer Rating](#)

[Liquidity Analysis of Non-financial sector entities](#)

[Assigning 'Outlook' or 'Rating Watch' to Credit Ratings](#)

[Financial Ratios – Non financial Sector](#)

[Airports Companies](#)

[Infrastructure Sector Ratings](#)

[Withdrawal Policy](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Services	Services	Transport infrastructure	Airport and airport services

DIAL is a joint venture responsible for operating, managing, and developing the Indira Gandhi International Airport at New Delhi. DIAL was formed in 2006 as part of India's initiative to modernise its airports through public-private partnerships. The Government of India handed over the operations of IGI Airport to DIAL under a 30-year concession (Ending in 2036), extendable by another 30 years. GAL holds a 74% stake while balance 26% is held by AAI. GAL acquired additional stake of 10% from AG Frankfurt Airport Services Worldwide in March 2025.

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1 FY27 (UA)
Total operating income	5,433	7,568	2,022
PBILDT*	1,453	2,797	658
Profit after tax (PAT)	-976	477	70
Overall gearing (x)	53.51	21.22	NA
Interest coverage (x)	0.86	1.82	1.67

A: Audited; UA: Unaudited; Note: these are latest available financial results

*PBILDT: Profit before interest, lease rentals, depreciation and tax

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	SEBI	Highly Complex	Proposed	-	-	-	3500.00	CARE AA; Stable
Debentures-Non Convertible Debentures	SEBI	Highly Complex	INE657H08068	01-Sep-2025	Variable	01-Sep-2040	1000.00	CARE AA; Stable
Issuer Rating-Issuer Ratings	-		-	-	-	-	0.00	Withdrawn

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Issuer Rating-Issuer Ratings	LT	-	-	1)CARE AA; Stable (21-Jul-26)	1)CARE AA; Stable (23-Jul-25) 2)CARE AA; Stable (16-Apr-25)	1)CARE AA-; Positive (09-Oct-24)	-
2	Debentures-Non Convertible Debentures	LT	1000.00	CARE AA; Stable	1)CARE AA; Stable (21-Jul-26)	1)CARE AA; Stable (23-Jul-25)	-	-
3	Debentures-Non Convertible Debentures	LT	3500.00	CARE AA; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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